

- Since managers don't like to cut dividends, if they are concerned about the sustainability of earnings in the future they would not offer a higher dividend today; a higher payout ratio is a signal that they think future prospects look poor.
- When earnings are not paid out, cash is used to finance poor investments (malinvestment), leading to reduced earnings growth.
- When managers hold cash, it may signal “empire building,” where managers try to increase their power, rather than act to benefit shareholders.

Arnott and Assness's analysis suggests that if a firm has extra cash, there are reasonable arguments why they should pay out cash as dividends, rather than hold it or invest it in disastrous projects that could destroy value. In a world where malinvestment and empire building are pervasive, dividends might provide a valuable signal about a firm's shareholder policies. And perhaps mischievous corporate managers are exploiting the payout superstition for their own benefit?

The Moral of the Stories

The number of fairytales, rules of thumb, and magic charms sold in the financial markets are too numerous to list. We've highlighted three of the more coherent and believable stories in the marketplace that are called into question by empirical facts. The lesson is clear for all of us who enjoy a great investment pitch: In order to be good investors, we need to appreciate our natural preference for coherent stories over evidence that conflicts with those stories. Don't be the pigeon doing a “pellet voodoo dance,” when it has already been shown that the pellet voodoo dance doesn't work.

The Recap: Why Experts Fail

Once again, the expert's hypothesis is based on the following flawed assumptions:

- Qualitative information increases forecast accuracy.
- More information increases forecast accuracy.